

PREDICTION

1 *Does s_t contain information about r_{t+h} ?*

IC, rank IC, IC term structure, predictive R^2 , hit rate

↓ if yes

SIGNAL QUALITY

2 *Is that information stable, distinct, and usable?*

IC-IR, subsample stability, decay rate, orthogonality to known factors

↓ if yes

STRATEGY

3 *Does a portfolio built on it make money?*

Sharpe, Sortino, max drawdown, Calmar, skew, alpha/beta

↓ if yes

STATISTICAL VALIDITY

4 *Would it survive if I'd never seen this data?*

HAC t-stats, bootstrap, Reality Check, Deflated Sharpe, PBO

↓ if yes

DEPLOYABILITY

5 *Does it survive costs, capacity, and my existing book?*

net Sharpe, turnover, capacity, marginal contribution, operational risk